

management sugg

▼ Define Management?

Definition of Management:

Management is the process of planning, organizing, leading, and controlling resources to achieve organizational goals efficiently and effectively. It involves coordinating people and resources to accomplish tasks and make strategic decisions to ensure the success of an organization.

▼ List the Henry Fayol's 14 principle of management

Henry Fayol's 14 Principles of Management:

1. **Division of Work:** Divide tasks to increase efficiency and specialization.
2. **Authority and Responsibility:** Authority should come with corresponding responsibility.
3. **Discipline:** Employees need clear rules and consequences to maintain order.
4. **Unity of Command:** Employees should have only one supervisor to avoid confusion.
5. **Unity of Direction:** Everyone should work towards common objectives.
6. **Subordination of Individual Interest:** Organizational interests should prevail over personal interests.
7. **Remuneration:** Fair compensation motivates employees.
8. **Centralization:** Balance central control with delegation of authority.
9. **Scalar Chain:** Hierarchical chain of authority should be followed for communication.
10. **Order:** Organize resources and people for optimal results.
11. **Equity:** Treat employees fairly and justly.
12. **Stability of Tenure:** Longer employee tenure promotes efficiency.
13. **Initiative:** Encourage employees to take initiative and offer suggestions.

14. **Esprit de Corps:** Foster team spirit and unity among employees.

▼ What is motivation?

Motivation:

Motivation is the internal or external drive that compels individuals to take action, pursue goals, and exhibit specific behaviors. It is the force that energizes, directs, and sustains behavior over time.

▼ Describe Maslow's Hierarchy Of Needs Theory?

Maslow's Hierarchy of Needs Theory:

1. **Physiological Needs:** These are the most basic needs for survival, such as food, water, shelter, and sleep. Individuals are motivated to satisfy these needs first.
2. **Safety Needs:** Once physiological needs are met, individuals seek safety, security, stability, and protection from harm.
3. **Social Needs (Belongingness and Love):** People have a need for social interactions, relationships, and a sense of belonging to groups or communities.
4. **Esteem Needs:** This level involves the desire for recognition, respect, self-esteem, and the need to achieve a sense of accomplishment and competence.
5. **Self-Actualization:** At the highest level, individuals strive for self-fulfillment, personal growth, and realizing their potential. This includes pursuing creative, intellectual, and spiritual endeavors.

▼ What is business?

What is Business?

Business refers to an organized endeavor where individuals or entities engage in activities to produce, sell, or provide goods and services with the primary aim of generating profit.

▼ What are the features of business?

Features of Business:

1. **Profit Motive:** The main objective of a business is to earn a profit by offering goods or services at a price higher than the cost of production.
2. **Exchange of Goods and Services:** Business involves the exchange of products or services for money, creating a transactional relationship.
3. **Entrepreneurship:** Entrepreneurs initiate and manage businesses by taking risks and making strategic decisions to achieve success.
4. **Risk and Uncertainty:** Businesses operate in an environment with risks related to market changes, competition, technological advancements, and economic factors.
5. **Organization and Management:** Businesses require structured management to coordinate resources, set goals, make decisions, and ensure efficient operations.
6. **Legal Entity:** Many businesses are established as legal entities separate from their owners, providing liability protection and distinct legal status.
7. **Customer Satisfaction:** Meeting customer needs and delivering value are crucial for business success and growth.
8. **Innovation:** Businesses innovate to stay competitive, improve products, and adapt to changing consumer demands.
9. **Continuous Activity:** Business operations are ongoing and consistent, requiring sustained efforts to maintain profitability.
10. **Economic Contribution:** Businesses play a significant role in generating employment, contributing to economic growth, and fostering development.

▼ Advantage and disadvantage of Joint Stock companies

Advantages of Joint Stock Companies:

1. **Limited Liability:** Shareholders' liability is limited to their investment in the company. Personal assets are protected from company debts.
2. **Large Capital Base:** Joint stock companies can raise substantial capital by issuing shares, making it easier to fund large projects and expansion.
3. **Professional Management:** With a board of directors and management team, expertise can be brought in for effective decision-making and

operations.

4. **Transferability of Shares:** Shares are transferable, allowing shareholders to buy, sell, or trade them, providing liquidity and flexibility.
5. **Perpetual Existence:** The company's existence is separate from its owners, ensuring continuity even if shareholders change.

Disadvantages of Joint Stock Companies:

1. **Complex Formation:** Establishing a joint stock company involves legal and administrative complexities, including registration, compliance, and reporting.
2. **Loss of Control:** Shareholders have a say based on their ownership, which might lead to a loss of direct control for larger shareholders.
3. **Divided Profit:** Profits are distributed among shareholders, which might lead to diluted earnings per share and reduced individual gains.
4. **Agency Problem:** Managers might prioritize personal interests over shareholders' interests, leading to agency conflicts.
5. **Regulations and Compliance:** Joint stock companies are subject to various regulations, increasing compliance costs and potential legal issues.

▼ Distinguish between public limited and private limited company

Aspect	Public Limited Company	Private Limited Company
Ownership	Owned by shareholders who buy shares	Owned by a small group of shareholders
Number of Shareholders	Must have a minimum number of shareholders	Can have a limited number of shareholders
Listing on Stock Exchange	Shares can be publicly traded	Shares are not publicly traded
Share Transfer	Shares can be freely transferred	Shares are often subject to restrictions
Disclosure Requirements	Subject to strict regulatory disclosures	Less stringent disclosure requirements

▼ What is industry and commerce?

Industry:

Industry refers to a group of businesses or organizations engaged in similar activities, such as manufacturing, producing, or providing specific goods or services. These businesses operate within the same sector and compete in the same market, often sharing similar production processes and target audiences.

Commerce:

Commerce encompasses the activities related to buying and selling goods and services. It involves trade, exchange, and distribution of products to meet consumer demands.

▼ Describe Internal environment of Business

1. **Organizational Culture:** This refers to shared values, norms, and behaviors that shape how employees interact and work together. It influences the overall atmosphere and identity of the company.
2. **Leadership and Management:** Effective leadership sets the tone for the organization. Management practices, decision-making, and communication styles impact the business's direction and performance.
3. **Employees:** Skilled, motivated, and engaged employees drive productivity, innovation, and customer satisfaction. Their skills, attitudes, and morale directly impact the company's success.
4. **Resources:** Physical resources like equipment, facilities, and technology, along with financial resources, play a crucial role in supporting operations and growth.
5. **Processes and Operations:** Efficient processes for production, supply chain management, marketing, and customer service contribute to streamlined operations and customer satisfaction.
6. **Organizational Structure:** The arrangement of roles, responsibilities, and reporting lines affects communication, decision-making, and coordination.
7. **Corporate Values and Ethics:** Upholding ethical standards and corporate values helps build trust with stakeholders and maintain a positive reputation.

8. **Innovation and Adaptability:** The ability to innovate, adapt to change, and stay ahead of market trends enhances competitiveness.
9. **Employee Relations:** Positive employee relations, fair treatment, and effective HR practices contribute to a motivated workforce.
10. **Internal Communication:** Clear and open communication channels foster collaboration, information sharing, and alignment with company goals.

▼ Describe different types of industry in brief

1. **Primary Industry:**

- Involves extracting and harvesting natural resources directly from the earth.
- Examples: Agriculture, forestry, fishing, mining, and oil extraction.
- Primary industries provide raw materials for other sectors.

2. **Secondary Industry:**

- Involves transforming raw materials from primary industries into finished products.
- Examples: Manufacturing, construction, and processing industries.
- Secondary industries add value to raw materials and create tangible goods.

3. **Tertiary (Service) Industry:**

- Focuses on providing services rather than producing goods.
- Examples: Retail, healthcare, education, finance, hospitality, and entertainment.
- Tertiary industries cater to the needs of individuals and other businesses.

▼ What is accounting?

Accounting:

Accounting is the systematic process of recording, summarizing, analyzing, and interpreting financial transactions and information of an organization.

▼ Describe the steps in the accounting process?

Steps in the Accounting Process:

1. Identification of Transactions:

- Identify and gather relevant financial transactions from various sources, such as invoices, receipts, and contracts.

2. Recording Transactions:

- Record each transaction in the appropriate accounting books, journals, or software. This involves entering debits and credits for affected accounts.

3. Posting to Ledger:

- Transfer transaction details from journals to respective accounts in the general ledger. This step organizes transactions by account.

4. Trial Balance:

- Prepare a trial balance by listing all debit and credit balances from the ledger to ensure they are equal. It's a preliminary check for accuracy.

5. Adjusting Entries:

- Make adjusting entries to account for accrued revenues, expenses, prepayments, and other items that require recognition before financial statements are prepared.

6. Adjusted Trial Balance:

- Create an adjusted trial balance after incorporating adjusting entries. This confirms that debits and credits are still balanced.

7. Financial Statements:

- Prepare financial statements, including the income statement, balance sheet, and cash flow statement. These provide a comprehensive view of the organization's financial performance and position.

8. Closing Entries:

- Close temporary accounts like revenue and expense accounts to the retained earnings account. This prepares the accounts for the next

accounting period.

9. **Post-Closing Trial Balance:**

- After closing entries, prepare a post-closing trial balance to ensure all temporary accounts have been closed and permanent accounts are accurate.

10. **Analysis and Interpretation:**

- Analyze financial data to assess the organization's financial health, trends, and areas of improvement. Interpret the information to aid decision-making.

▼ Fixed cost vs variable cost?

Aspect	Fixed Cost	Variable Cost
Nature	Remains constant regardless of output	Varies with changes in output
Definition	Costs that do not change with volume	Costs that change with volume
Examples	Rent, salaries, insurance premiums	Raw materials, labor per unit
Behavior	Stays the same over different levels	Increases or decreases with output

▼ What is accounting equation?

Accounting Equation:

The accounting equation, also known as the fundamental accounting equation, is the foundation of double-entry bookkeeping.

▼ Briefly describe liabilities and owner's equity?

Assets = Liabilities + Owner's Equity

This equation ensures that every financial transaction has an impact on the balance between a company's resources, debts, and the owners' claims.

Liabilities:

Liabilities are the financial obligations and debts owed by a company to external parties. They represent claims that creditors or other entities have over the company's assets. Liabilities can be short-term (current) or long-term

(non-current) and include items like loans, accounts payable, and accrued expenses.

Owner's Equity:

Owner's equity, also known as shareholders' equity or capital, represents the residual interest in the assets of the company after deducting its liabilities. It's the ownership claim of the company's owners or shareholders. Owner's equity includes contributions made by the owners (capital), retained earnings (accumulated profits), and additional paid-in capital from stock issuance. It's a measure of the company's net worth and value to its owners.